

Whangarei District Council Meeting

Supplementary Agenda

Date: Thursday, 25 July, 2024

Time: 9:00 am

Location: Civic Centre, Te Iwitihi, 9 Rust Avenue

Elected Members: His Worship the Mayor Vince Cocurullo
Cr Gavin Benney
Cr Nicholas Connop
Cr Ken Couper
Cr Jayne Golightly
Cr Phil Halse
Cr Deborah Harding
Cr Patrick Holmes
Cr Scott McKenzie
Cr Marie Olsen
Cr Carol Peters
Cr Simon Reid
Cr Phoenix Ruka
Cr Paul Yovich

For any queries regarding this meeting please contact the Whangarei District Council on (09) 430-4200.

6. Decision Reports / Whakatau Rīpoata**6.6 *Transition Advisory Board*****3**

6.6 Transition Advisory Board Terms of Reference

Meeting:	Whangarei District Council
Date of meeting:	25 July 2024
Reporting officer:	Dominic Kula– General Manager Planning and Development

1 Purpose / Te Kaupapa

To provide draft Terms of Reference for a Council Controlled Organisation or Council Controlled Trading Organisation Transition Advisory Board for Council consideration.

2 Recommendations / Whakataunga

That the Council approves the Terms of Reference for the establishment of a Council Controlled Organisation or Council Controlled Trading Organisation Transition Advisory Board.

3 Background / Horopaki

Through the 2024-2025 Long Term Plan Council identified a Council Controlled Organisation (CCO) or a Council Controlled Trading Organisation (CCTO) as the preferred option for the development of Council-owned property that has commercial or strategic opportunities. This was based on up to \$30m of property consulted on through the LTP (the 'Property Portfolio'), including potential strategic opportunities such as the redevelopment of areas of Forum North (excluding the Forum North Entertainment Centre and the Central Library).

In doing so Council resolved to undertake further investigation of development opportunities within the Property Portfolio before progressing to the establishment of a lower cost CCO or CCTO (\$500,000 per annum has been budgeted from Year 2 of the LTP rather than the \$1.34m consulted on). Through deliberations Council also excluded the ex-Balance Site from the Property Portfolio in order to enable further discussion with hapu, while resolving to 'establish mechanisms for the governance and oversight of commercial property, with hapu involvement and external expertise being provided for, and clear delegations'.

Staff were directed to bring the terms of reference for a CCO or CCTO Transition Advisory Board to the July 2024 Council meeting. The attached Terms of Reference have been drafted with a view to securing the necessary skills and expertise to advise Council on these matters.

4 Discussion / Whakawhiti kōrero

For consistency and transparency, the Terms of Reference proposed for the Transition Advisory Board are based on those currently used for existing Council advisory groups: the Youth Advisory Group, Disability Advisory Group and Positive Ageing Advisory Group. Basing the proposed Terms of Reference on those used for existing advisory groups ensures consistency with existing Council policies, procedures and processes.

However, the terms of reference for this group has been modified in part for the Transition Advisory Board to reflect its different focus as advice aimed at assisting Council in it's decision making on a specific proposal. Given that this is an operational workstream that will report back to Council for a decision it is proposed to have the Chief Executive (or delegate) represented within the Advisory Group. As this group is to provide specialised advice to Council on the potential establishment of a CCO or CCTO it is proposed that appointments be based on the required skills and expertise, rather than being elected or hapu representatives.

Key inclusions within the terms of reference include:

Section	Explanation
Membership Numbers	A smaller Transition Advisory Group comprised of the Chief Executive (or delegate) and four external representatives appointed based on defined skills and expertise (rather than being elected or hapu representatives).
Selection Criteria	The selection criteria allow Council to ensure that the makeup of the Transition Advisory Board contains the relevant and necessary expertise to carry out the key responsibilities. There is flexibility within these selection criteria to prioritise certain skill sets if this is more appropriate.
Responsibilities	The Key Responsibilities have been drafted based on the Council decision through LTP Deliberations.
Operation and other matters	These terms align with the wording of other existing terms of reference.
Meetings	These terms have been modified to allow flexibility of meeting occurrence but retaining details of quorum. The inclusion of the Local Government Official Information and Meetings Act 1987 requirements are not introducing a new obligation but stating existing legal requirement for clarity.
Delegations	Existing Council advisory groups have no delegations. This is also the case here, with the express purpose of the group being to advise Council. As such all recommendations and reporting are to Council or Committee.
Selection Process	Current Council advisory groups and committees with external representatives call for either expressions of interest or community nominations for members. Existing advisory groups have selection criteria, and these have been modified to reflect the skills and expertise which would potentially be of value to the Transition Advisory Board.
Code of Conduct	The code of conduct is aligned to that of existing advisory groups.

4.1 Financial/budget considerations

There are no financial or budget considerations as there is no budget or delegation provided to the Transition Advisory Board.

4.2 Options

Council has two options:

1. To adopt a Terms of Reference for the Transition Advisory Board; or
2. To not adopt a Terms of Reference for the Transition Advisory Board.

4.3 Risks

The risks of not adopting a Terms of Reference, or adopting a Terms of Reference which is significantly different from the terms, conditions and processes that Council uses for existing advisory groups or committees with external membership is that of being seen as acting consistently. Adopting a term of reference very similar to those already used by other advisory groups would mitigate this risk.

5 Significance and engagement / Te Hira me te Arawhiti

The decisions or matters of this Agenda do not trigger the significance criteria outlined in Council's Significance and Engagement Policy.

6 Attachment / Ngā Tāpiritanga

Attachment 1: Draft Terms of Reference Transition Advisory Board

CCO-CCTO Transition Advisory Board Terms of Reference

1. Background

Through the 2024-2025 Long Term Plan Council identified a Council Controlled Organisation (CCO) or a Council Controlled Trading Organisation (CCTO) as the preferred option for the development of Council-owned property that has commercial or strategic opportunities. This was based on up to \$30m of property consulted on through the LTP (the 'Property Portfolio'), including potential strategic opportunities such as the redevelopment of areas of Forum North (excluding the Forum North Entertainment Centre and the Central Library).

In doing so Council identified a need for further investigation of development opportunities within the Property Portfolio before progressing to the establishment of a lower cost CCO or CCTO (\$500,000 per annum has been budgeted from Year 2 of the LTP rather than the \$1.34m consulted on). Through deliberations Council excluded the ex-Balance Site from the Property Portfolio in order to enable further discussion with hapū.

2. Purpose

The purpose of the CCO-CCTO Transition Advisory Board is to support Council in, and provide advice in relation to, detailed analysis of specific development opportunities within the Property Portfolio consulted on (excluding the ex Balance Site at this time). Alongside this it will provide advice on the mechanisms for the governance and oversight of commercial property, including clear delegations, potential hapū involvement and provision of external expertise.

3. Membership

The Transition Advisory Board will have up to 5 members comprising:

- The Chief Executive or delegated staff representative
- Up to 4 External Representatives

4. Selection

Selected representatives will be chosen through a Council led expression of interest process (as outlined in Appendix A) to ensure that the Transition Advisory Board contains members selected on the basis of specialist skills required to advise Council on the establishment of a CCO or CCTO. All appointments will be a decision of Council.

5. Key Responsibilities

- Bring expertise and advice to Council, relevant to the development of a CCO or CCTO.
- Provide advice to Council on development opportunities within the Property Portfolio, including on the viability of specific opportunities.
- Cooperatively formulate and recommend outcomes for development opportunities within the Property Portfolio, providing advice on the type/level of trade offs that Council should

consider (i.e. trade offs associated with the loss of parking/revenue as a result of a development opportunity).

- Identify and recommend lines of accountability that provide for clear, open and transparent decision making.
- Cooperatively formulate and recommend potential accountability devices including those included in Statement of Intent, KPI's and other mechanisms that will enable Council to effectively undertake its mandated monitoring role of any CCO or CCTO.
- Advise on mechanisms that ensure appropriate governance and oversight of and CCO or CCTO, with potential hapu involvement and external expertise provided for, and appropriate delegations defined.
- Report to Whangārei District Council or relevant committee through the Chief Executive on a monthly basis.
- Act transparently and openly in all matters and ensure clear, comprehensive and regular communication with Council Elected Members and staff.
- Comply with any direction, resolution or decision of Council and ensure that no action of the Transition Advisory Board is inconsistent or contrary to such a direction, resolution or decision.
- Consider issues objectively and maintain a willingness to be open-minded and a willingness to consider different points of view.

In undertaking their responsibilities, the Transition Advisory Board will comply, and act consistently, with any relevant legislation and Council policies. No action, recommendation or comment of the Transition Advisory Board will be considered as pre-determining the outcome of any regulatory or consultation process.

6. Operation and other matters

- The Chair and the Deputy Chair will be elected by Transition Advisory Board members.
- If a situation arises where the Transition Advisory Board is not functioning effectively or there is a disagreement regarding membership eligibility, Whangareia District Council will have final approval of the membership and composition of the board.
- All members are expected to comply with the Code of Conduct as outlined in Appendix B of these terms of reference.
- Council retains the full discretion to terminate the Transition Advisory Board at any time.

7. Declaration of Interests

- All selected representatives will be required to declare any interests that may affect their role on the Transition Advisory Board at the beginning of their term and to regularly update this declaration if the information provided changes in any material way (including new information).

8. Meetings

- Whangārei District Council will oversee the administration of the Transition Advisory Board and provide limited administration services.
- Meetings will be held on an as required basis. The Chair of the Transition Advisory Board is responsible for setting the Agenda in consultation with the Chief Executive or his/her Delegate.
- Half of the current number of members must be present for a quorum. No resolutions or recommendations can be made without a quorum.
- All meetings will be subject to the requirements of the Local Government Official Information and Meetings Act 1987.

9. Term

- This committee term is for the 2024/2025 financial year, with a view to Council making decisions on the establishment of a CCO or CCTO prior to the end of the Term.

10. Delegations

As this is an advisory board it has no delegated authority and cannot enter into or make representations or decisions on behalf of Council. All recommendations and reporting are to Council or Committee.

The presence of the Chief Executive or delegated representative on the Transition Advisory Board does not infer any additional delegation to the Transition Advisory Board.

Appendix A: Draft Selection Process

Selected Representative Criteria

Whangārei District Council will call for expressions of interest from qualified residents who may demonstrate one or more of the selection criteria being knowledge of and experience in matters relevant to:

- Governance
- Finance
- Property Management
- Policy
- Development
- Investment
- Marketing
- Local Government
- A Council Controlled Organisation or Trading Organisation (preferably dealing with property matters)
- Knowledge and familiarity with Te Parawhau / Ngati Kahu history and tikanga in relation to land being considered for inclusion within a CCO or CCTO
- A level of Mātauranga Māori and Te Reo.

Additional criteria for selection or consideration may be specified in the expression of interest form.

Applications will be reviewed and shortlisted by a selection panel consisting of the:

- Chief Executive (or delegated representative)
- Chair of the Planning and Development and/or Finance Committee
- General Manager Strategy and Democracy and/or Planning and Development

Appendix B: Code of Conduct

Expectations

This code of conduct is to support the development of mutual trust and respect amongst Transition Advisory Board members, Councillors and staff.

Members are expected to conduct themselves in ways that are:

- Open, honest and maintain integrity
- Acting in good faith and in the best interests of Whangārei District Council
- Complying with the spirit and letter of the law
- Maintaining confidence and trust in the Transition Advisory Board
- Focuses on issues relevant to the responsibilities of the Transition Advisory Board.

Should conflict occur, the Chair will work with the Chief Executive to resolve the conflict.

Public Comment

All media enquiries will be directed to the Chief Executive. Where appropriate, a view may be expressed by the Transition Advisory Board with Council agreement. In these circumstances:

- Only the Chair or the Chief Executive can represent the board to the media;
- The Chair and Chief Executive will work with the Council's communications team in relation to public comments.
- Members must support the official view of the Transition Advisory Board and refer any further enquiries to the Chief Executive.

Members are free to express a personal view in public. When doing so, they should make clear that:

- They are expressing a personal view
- Their comments do not represent the view of Council or the Transition Advisory Board.

In addition, public comments, including those on social media, should comply with all other expectations as outlined in this Code of Conduct.

Conflict of Interest

Transition Advisory Board members are expected to report any conflicts of interest to the Council as soon as possible. Members should avoid conflicts of interest so far as possible.

Where a conflict or potential conflict arises, a Transition Advisory Board Member must disclose it at the beginning of the next meeting and absent themselves from discussion and decision making related to that issue.

An agreed conflict of interest process must be agreed upon by the Members at their first meeting and endorsed by Council. Failure to comply with the agreed conflict of interest process will be a breach of this code of conduct.

General Conduct

Transition Advisory Board members are expected to:

- Observe and foster high ethical standards at all times
- Not influence, or attempt to influence, any officer or employee to take actions that may benefit the member, or the member's family or business interests
- Not solicit, demand, or request any gift, reward or benefit by virtue of membership of the Transition Advisory Board
- Be prepared for meetings, arrive at meetings on time and provide apologies in advance when attendance is not possible
- Abide by the direction of the Chair
- Declare conflicts of interest as soon as possible
- Maintain a positive public image and not bring Council and the Transition Advisory Board into disrepute
- Avoid publicly criticising any Council employee in any way
- Raise concerns about Council employees with the Chief Executive
- Ensure any confidential information received in meetings remains confidential
- All communications relating to the Transition Advisory Board business, including emails must be respectful
- Abide by the Privacy Act 2020, Local Government Official Information and Meetings Act 1987, any other relevant legislation and Council policies

Complaints

A complaint about a member's conduct will be made to the Chair in the first instance, who will counsel the member concerned. Alternatively, conduct of any member or the Chairperson may be raised with the Chief Executive.

Review of position

Any behaviour or conduct that is deemed to be in breach of the Code of Conduct may result in a review of membership of the Transition Advisory Board. This will occur through a Council process where the member may represent themselves, with or without support, but the Council will have the final say and no further discussion will be entered into or any right of review/appeal.

RESOLUTION TO EXCLUDE THE PUBLIC

That the public be excluded from the following parts of proceedings of this meeting.

The general subject of each matter to be considered while the public is excluded, the reason for passing this resolution in relation to each matter, and the specific grounds under Section 48(1) of the Local Government Official Information and Meetings Act 1987 for the passing of this resolution are as follows:

General subject of each matter to be considered		Reason for passing this resolution in relation to each matter	Ground(s) under Section 48(1) for passing this resolution
1.1	Confidential Minutes Whangarei District Council 27 June 2024	Good reason to withhold information exists under Section 7 Local Government Official Information and Meetings Act 1987	Section 48(1)(a)
1.2	Confidential Minutes Whangarei District Council 3 July 2024		
1.3	Springs Flat Roundabout Procurement Plan		
1.4	Extension Wastewater and Stormwater Maintenance Contract		
1.5	Airport Noise Committee Community Representative		
1.6	NECT Reappointments & Resignations		
1.7	Old Municipal Building Future Use		
1.8	Saorsa Retirement Village Trust – Capital Grant Request		

This resolution is made in reliance on Section 48(1)(a) of the Local Government Official Information and Meetings Act 1987 and the particular interest or interests protected by Section 6 or Section 7 of that Act which would be prejudiced by the holding of the whole or the relevant part of the proceedings of the meeting in public, are as follows:

Item	Grounds	Section
1.1	For the reasons as stated in the open minutes	
1.2	For the reasons as stated in the open minutes	
1.3	To enable Council to carry on without prejudice or disadvantage negotiations (including commercial and industrial negotiations)	Section 7(2)(i)
1.4	To enable Council to carry on without prejudice or disadvantage negotiations (including commercial and industrial negotiations)	Section 7(2)(i)
1.5	To protect the privacy of natural persons including that of a deceased person	Section 7(2)(a)
1.6	To protect the privacy of natural persons including that of a deceased person	Section 7(2)(a)
1.7	To enable Council to carry on without prejudice or disadvantage commercial activities	Section 7(2)(h)

	To enable Council to carry on without prejudice or disadvantage negotiations (including commercial and industrial negotiations)	
1.8	To protect information where the making available of the information would be likely unreasonably to prejudice the commercial position of the person who supplied it or the subject of the information.	Section 7(2)(b)(ii)

Resolution to allow members of the public to remain

If the council/committee wishes members of the public to remain during discussion of confidential items the following additional recommendation will need to be passed:

Move/Second

"That _____ be permitted to remain at this meeting, after the public has been excluded, because of his/her/their knowledge of Item _____.

This knowledge, which will be of assistance in relation to the matter to be discussed, is relevant to that matter because _____.

Note: Every resolution to exclude the public shall be put at a time when the meeting is open to the public.